

Final notes on GDP/ GNI/ consumption data - first attempt at extensions

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1 Cross-section risk sharing regression plots

A first look at the data during the replication period

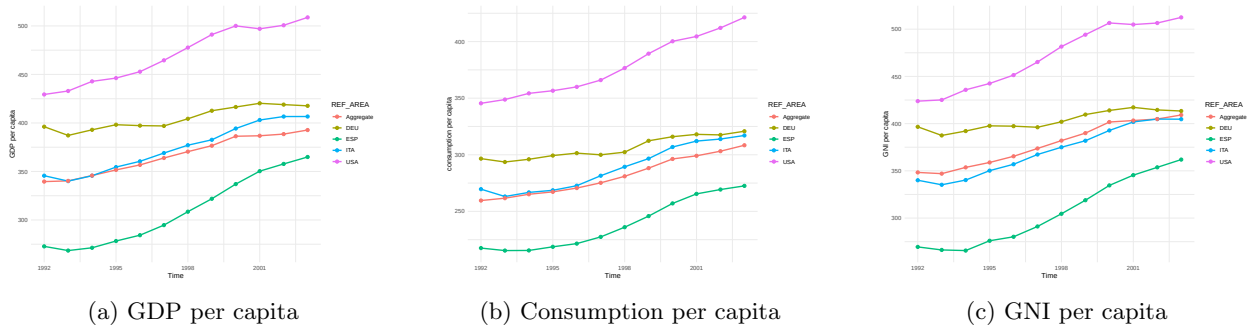


Figure 1: (Selected) GDP, consumption and GNI per capita

Risk sharing plots

Start with consumption and income risk sharing during replication period (potential code adjustments?) //

Then, extend to only post-2003 and afterwards also pre-1992 (for both)

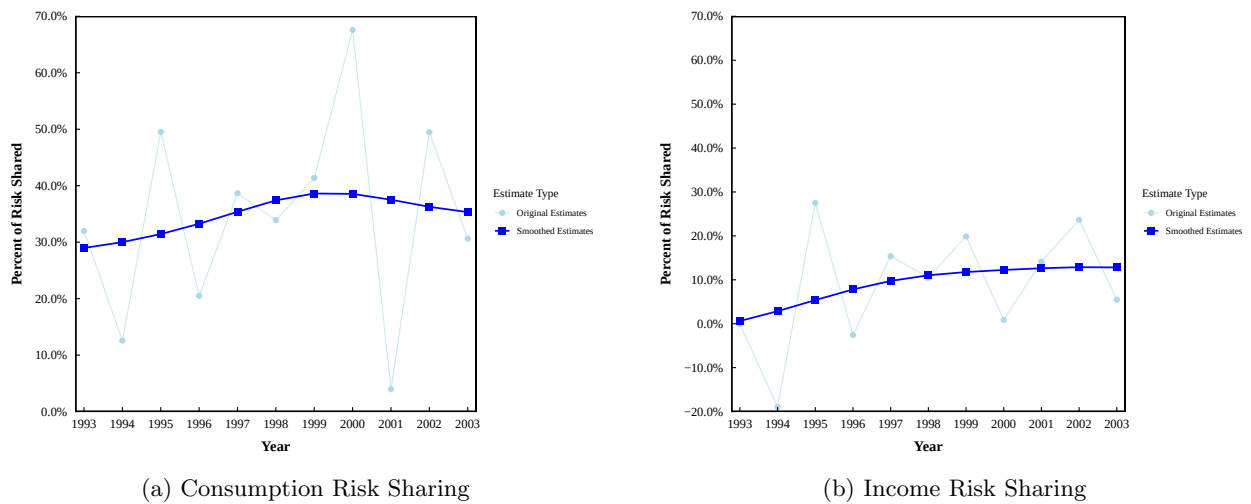
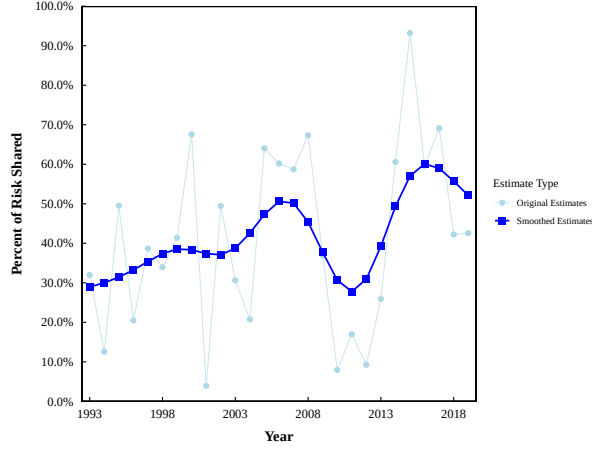
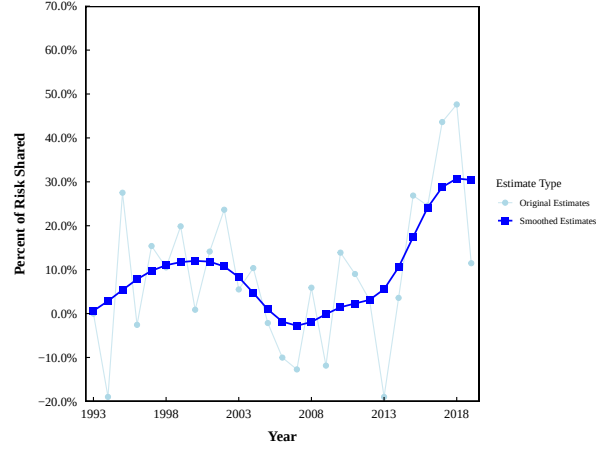


Figure 2: Replication of cross-section risk sharing plots

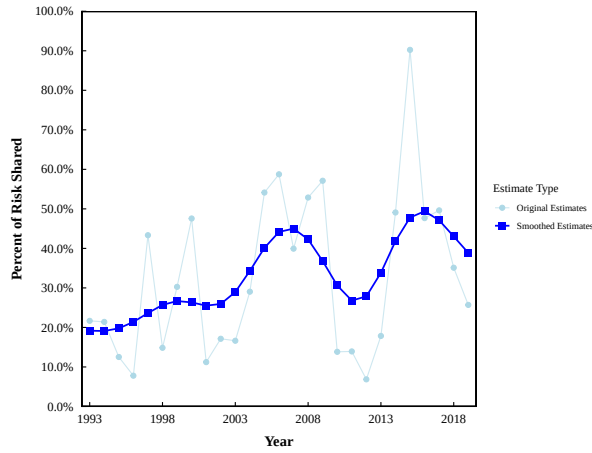


(a) Consumption Risk Sharing

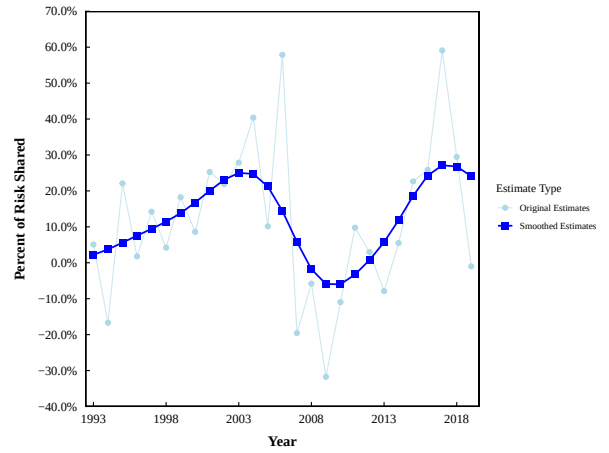


(b) Income Risk Sharing

Figure 3: Cross-section risk sharing plots: Replication country sample, 1993-2019

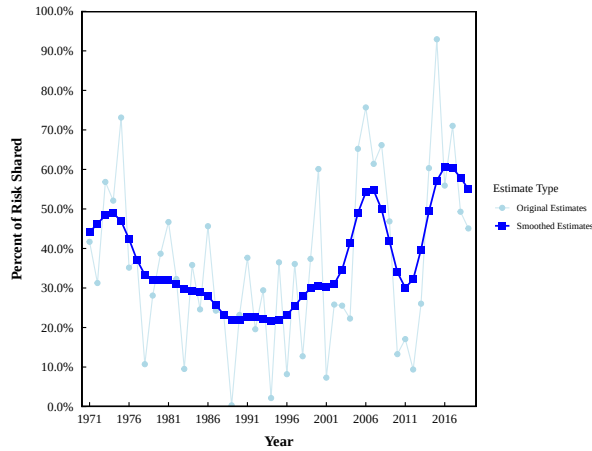


(a) Consumption Risk Sharing

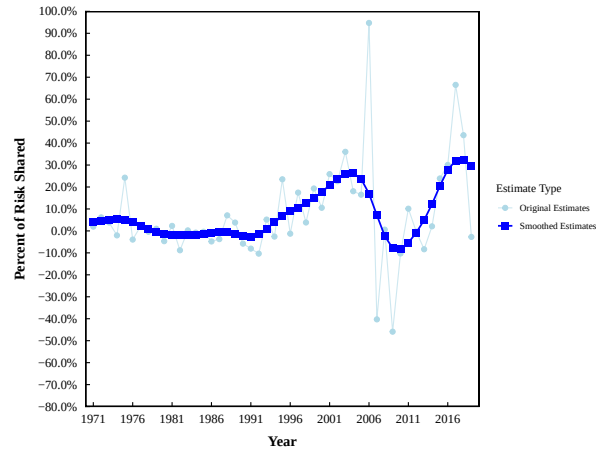


(b) Income Risk Sharing

Figure 4: Cross-section risk sharing plots: All OECD countries, 1993-2019



(a) Consumption Risk Sharing



(b) Income Risk Sharing

Figure 5: Cross-section risk sharing plots: All OECD countries, 1970-2019

2 The Eurozone Extension

We might be interested in how risk sharing and Home Bias developed in the Eurozone:

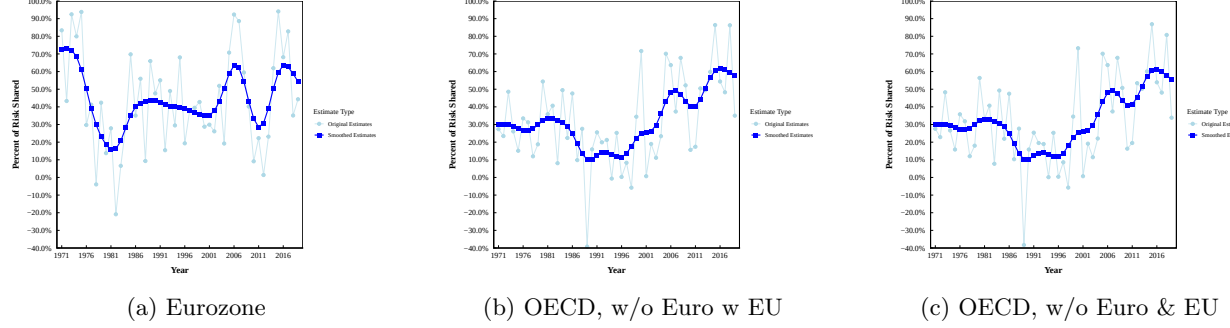


Figure 6: Cross-section consumption risk sharing plots: 1970-2019

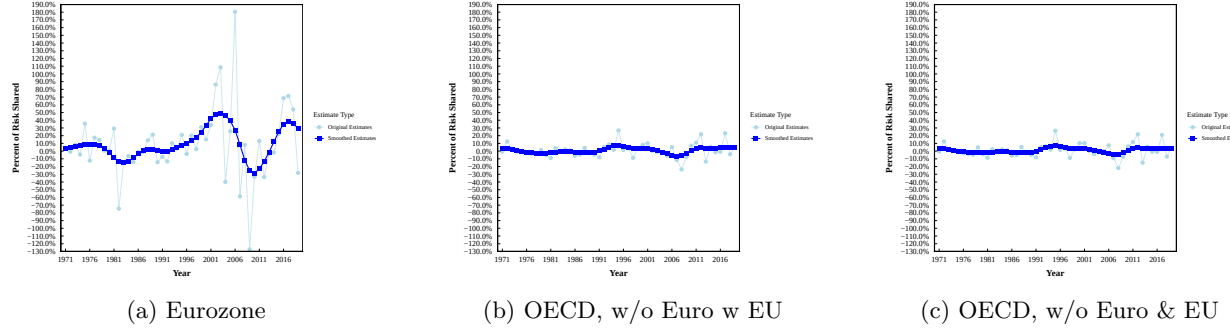


Figure 7: Cross-section income risk sharing plots: 1970-2019

3 Research Proposal

Replication

- We can confirm the negative correlation between Home Bias and risk sharing. **Within the reference paper selection of OECD countries, a lower Home Bias since the 1990s is associated with higher risk sharing.**
- We focus on the main specification of the reference paper, that is: Consumption and income (GNI) risk sharing as well as Home Bias measured as the share of foreign assets over GDP ("crude Home Bias") and the equity Home Bias ("EHB"). We do not replicate
- The main output is a plot showing the evolution of rolling risk sharing estimates against Home Bias measures as well as an extended Panel risk sharing regression, specifying for the risk sharing parameter κ : $\kappa = \kappa_0 + \kappa_1(t - \bar{t}) + \kappa_2(\text{Home Bias deviation})$
- We omit further Home Bias measures and robustness checks of the reference paper to focus on extensions.

Extensions

- We extend time and observations both to pre-1993 and post-2003, analyzing to what extent the negative correlation between Home Bias and risk sharing holds in a larger population and time horizon. [Main tool: Nested regression]

- We show plots and nested regression for i) Eurozone members against non-Eurozone members and would expect the Home Bias to decrease stronger for the former since 1999 and ii) define the Eurozone Home Bias analogously and would expect the Eurozone Home Bias to increase after 1999.
- If these expectations hold, the lower insurance against idiosyncratic shocks means the cost of a single monetary authority is higher than without this (endogenous) adjustment.